

when short-term negatives have been more than fully baked into share prices, many hold back, waiting for obvious evidence of turnaround or recovery. In effect, they'd rather pay a higher price when the road ahead seems clear, even though by the time everyone can see what they see, the moment of greatest opportunity will have passed.

The pressures placed on professional investment managers cause them to act based on nonfundamental considerations. For example, many professional investors engage in certain career-management techniques, such as “window dressing” their portfolios at the end of calendar quarters by selling off losers (even if they are undervalued) while buying more of the winners (even if overvalued). This is because it's hard to keep defending a money-losing investment to disgruntled clients; being second-guessed is a common professional hazard. Of course, for truly long-term-oriented value investors, it's a wonderful thing that many potential competitors are thrown off course by constraints or behaviors that render them unable or unwilling to hold the very best investments.

Opportunity is often found where you least expect it, where you have never found it before, and where you have never even looked. During the Great Financial Crisis of 2008, one area of opportunity for my firm and for other value investors ended up being in residential mortgage-backed securities (RMBS) that fell under a dark cloud when the housing market collapsed. These securities, backed by slicing and dicing the cash flows from large pools of residential mortgages, were a Wall Street innovation that, like many, had not been stress-tested. Ratings downgrades caused the entire securitization market to shudder, and holders regurgitated enormous volumes of these suddenly disgraced issues. These now “toxic assets” plunged when it became apparent that investors would not recover par value. Prices began to discount a further plunge in housing prices, one which would have massively overshot fundamentals. Huge volumes of deeply